Group 5

Restoring Boeing’s Reputation: A Leadership and Organizational Change Perspective

A Report by: (Mo1- Group 5)

Amit Kumar (8519568)

Chanyung Hur (8520368)

Chih-Lin Tseng (8519950)

Jianwu Yang (8520302)

Kailash Selvan (8519903)

Hanxiang Yuan (8513112)

Course: Organizational Behavior, Leadership, and Sustainability

Institution: Frankfurt School of Finance & Management

Date: 4th March 2025

Index

Contents	Page No.

Introduction

One of the most well-known aerospace companies in the world, Boeing, has long been praised for its technical prowess and innovative engineering. By creating some of the most popular commercial aircraft, the company has significantly influenced the development of the global aviation industry. However, a string of safety incidents, poor leadership, and moral dilemmas have severely damaged Boeing's reputation in recent years.

The 737 MAX crisis, which resulted in two deadly crashes that claimed 346 lives—Ethiopian Airlines Flight 302 in 2019 and Lion Air Flight 610 in 2018—was the biggest setback to Boeing's reputation. According to investigations, deficiencies in pilot training, regulatory oversight, and the Maneuvering Characteristics Augmentation System's (MCAS) design all contributed to these catastrophes. Because of this, the 737 MAX was grounded globally for almost 20 months, resulting in billions of dollars in financial losses and a severe decline in public trust.

The MAX crisis was not the end of Boeing's problems. The company's 787 Dreamliner continued to have manufacturing flaws in the ensuing years, leading to delivery delays and production limitations enforced by the FAA. A door plugs on an Alaska Airlines 737 MAX 9 blew out in midair in January 2024, revealing serious assembly flaws and insufficient quality control procedures. The flying public, airline passengers, and regulators are all paying closer attention because of these recurring incidents.

Boeing's internal corporate culture and leadership style have also been criticized, in addition to technical and manufacturing issues. Critics contend that, especially following its 1997 merger with McDonnell Douglas, Boeing changed from an engineering-driven culture to one focused on maximizing profits. Rather than putting safety and innovation first, decision-making shifted to achieving financial goals. Changes in leadership, such as the firing of former CEO Dennis Muilenburg in 2019, haven't done much to rebuild trust in Boeing's capacity for self-control.

This study looks at organizational behavior, corporate culture, leadership, and moral decision-making in an effort to identify the underlying causes of Boeing's ongoing reputation crisis. Through the application of pertinent leadership models and theories of change management, we will investigate approaches to aid Boeing in restoring public confidence, enhancing its safety culture and ensuring long-term sustainability in the aerospace industry.

2. Organizational Structure and Leadership

2.1 Boeing's Corporate Structure

Boeing runs under a centralized hierarchical structure, where strategic decisions are made at the executive level and implemented across its various divisions. The company is structured into three primary business segments:

1. **Boeing Commercial Airplanes (BCA):** Responsible for designing, producing, and delivering commercial aircraft such as the 737, 787 Dreamliner, and 777 models.
2. **Boeing Defense, Space & Security (BDS):** Focuses on military aircraft, satellites, missile defense systems, and cybersecurity solutions.
3. **Boeing Global Services (BGS):** Provides maintenance, training, and supply chain management for airlines and defense customers.

The CEO and the Board of Directors, who oversee the company's financial and strategic direction, are seated at the top of this structure. Nonetheless, detractors contend that Boeing's board has put shareholder profits ahead of product and engineering quality.

2.2 Leadership Challenges and Decision-Making Issues

Because of their poor decision-making, lack of transparency, and unethical handling of safety issues, Boeing's leadership has come under heavy criticism. Boeing's decline has been attributed to a number of leadership issues, including:

1. **Profit-Driven Decision-Making**: Following the McDonnell Douglas merger, Boeing's leadership adopted a cost-cutting strategy, often putting immediate financial results ahead of long-term safety expenditures.
2. **Lack of Accountability**: Boeing was able to evade important safety inspections by using the FAA's self-certification model, which resulted in defective aircraft approvals.
3. **Reactive Leadership:** After the 737 MAX crashes, Boeing executives minimized safety concerns, which caused a delay in admitting faults and putting corrective measures in place.
4. **High Executive Turnover:** The company's strategic direction has been inconsistent, and putting long-term reforms into place has been challenging due to frequent leadership changes, including the departure of former CEO Dennis Muilenburg.

The leadership crisis at Boeing has exposed deep-rooted cultural issues within the organization. Many employees and industry analysts argue that Boeing has lost the core engineering-first mentality that once defined the company. Instead, corporate priorities have become misaligned, leading to breakdowns in safety protocols, quality assurance failures, and an overall decline in trust among key stakeholders.

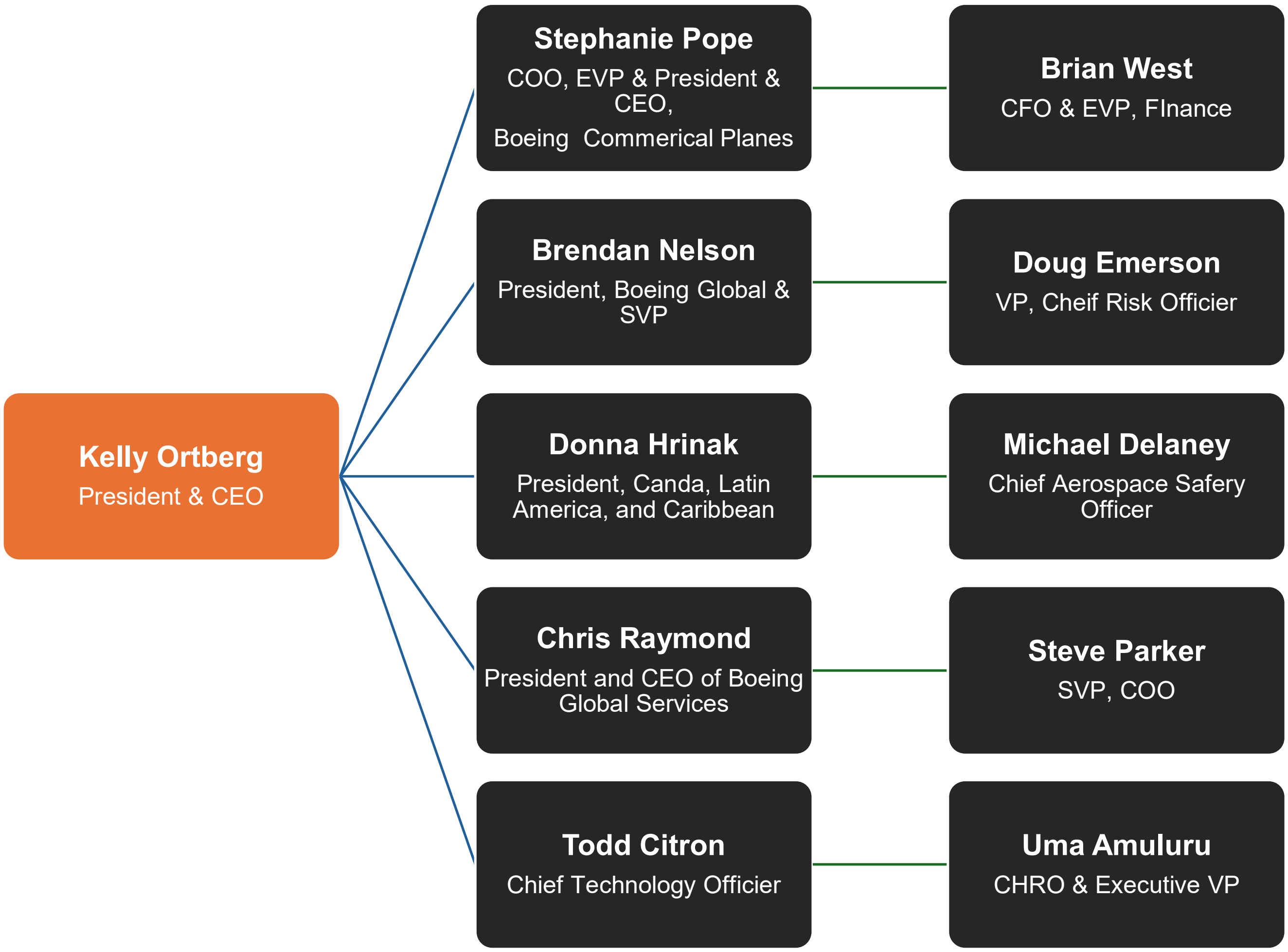

Fig 1 - Boeing's Organizational Structure Chart

3. Nature of the Organizational Problem

Boeing's struggles stem from multiple high-profile safety failures, exposing deep-rooted systemic flaws. Some of the most critical incidents include:

3.1. Leadership Failures and Their Effect on Reputation

Boeing's reputation has suffered significantly due to leadership failures that have led to multiple safety incidents, regulatory interventions, and financial losses. Poor decision-making, an excessive focus on cost-cutting, and a shift away from an engineering-first culture have contributed to ongoing crises within the company. Below is a detailed analysis of the most critical safety incidents that have affected Boeing's standing in the aviation industry.

Incident	Date	Aircraft Model	Key Issues	Impact
Lion Air Flight 610 Crash	October 2018	Boeing 737 MAX 8	MCAS failure, pilot training gaps	189 fatalities, global scrutiny
Ethiopian Airlines Flight 302 Crash	March 2019	Boeing 737 MAX 8	MCAS failure, regulatory oversight failures	157 fatalities, worldwide grounding of 737 MAX
787 Dreamliner Structural Defects	2020–2023	Boeing 787 Dreamliner	Manufacturing quality issues, faulty fuselage joins	Delivery delays, FAA production restrictions
737 MAX 9 Door Plug Failure	January 2024	Boeing 737 MAX 9	Missing bolts in fuselage door panel	Emergency landing, FAA grounding of affected models

Table 1: Timeline of Major Boeing Safety Incidents

Each of these incidents not only resulted in immediate financial and operational consequences but also severely damaged Boeing's credibility in the global aviation market. The crashes of Lion Air Flight 610 and Ethiopian Airlines Flight 302 highlighted the dangers of prioritizing cost and speed over rigorous safety testing. Boeing's decision to minimize pilot retraining requirements to keep costs low proved catastrophic, leading to the deaths of hundreds of passengers and crew members. The failure of the MCAS system and Boeing's reluctance to show crucial information to pilots and airlines highlighted a dangerous lapse in ethical leadership.

Following these tragedies, investigations revealed that Boeing had pushed for rapid certification of the 737 MAX with minimal external oversight. The company's self-certification process, which allowed it to conduct much of its own safety validation under FAA guidelines, was heavily criticized. The crisis prompted widespread calls for reform in how aviation regulators oversee plane manufacturers, leading to stricter compliance requirements and greater scrutiny of Boeing's production and engineering practices.

The 787 Dreamliner production flaws and the 737 MAX 9 doors plug failure further underscored Boeing's quality control deficiencies. The repeated manufacturing defects and poor oversight in assembly lines pointed to deep-rooted issues in Boeing's operational processes. These incidents intensified regulatory scrutiny, delaying deliveries, reducing investor confidence, and forcing the company to adopt new compliance measures.

Boeing's leadership, rather than proactively addressing these safety concerns, was often slow to acknowledge faults and implement meaningful reforms. The company's defensive stance in response to safety criticism, particularly after the 737 MAX crashes, further alienated regulatory bodies and airline customers. The financial repercussions of these failures were immense, with Boeing losing billions in legal settlements, refunds to airlines, and production halts.

The damage to Boeing's reputation has not been limited to financial losses; it has also affected long-term relationships with airlines and stakeholders. Trust in Boeing as a manufacturer of safe, reliable planes has been significantly weakened. In contrast, its primary competitor, Airbus, has capitalized on Boeing's struggles by securing more orders and strengthening its position in the commercial aviation industry.

Boeing's leadership played a crucial role in its reputational decline. Industry analysts have pointed out that Boeing executives disregarded multiple safety warnings about the 737 MAX before the crashes. Rather than prioritizing safety, leadership emphasized cost-cutting and production deadlines, compromising Boeing's long-standing culture of engineering excellence.

3.2 Ethical and Governance Challenges

Boeing made serious ethical and governance mistakes that led to its reputational problem. According to the inquiry, the business did not adequately show to customers and regulators the dangers posed by 737 MAX's MCAS flight control system. According to internal assessments, Boeing also made the unethical choice to prioritize business over passenger safety by purposefully avoiding alerting pilots and airlines to issues with the MCAS system to lower pilot training expenses.

The Federal Aviation Administration (FAA) has since expanded its supervision of Boeing and admitted that regulatory lapses have given Boeing excessive self-monitoring authority. Additionally, Boeing was the subject of a criminal investigation that resulted in a $2.5 billion settlement for the company's failure to adequately show information to regulators and address safety concerns. These governance failures highlighted systemic problems in Boeing's corporate culture.

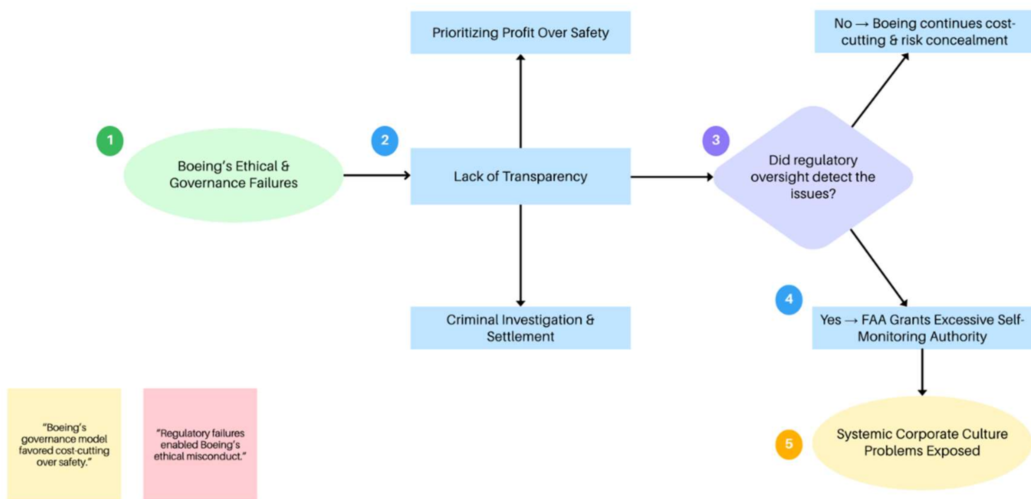

Fig. 2: Ethical Lapses and Decision-Making Challenges Flowchart

3.3. Cultural and Operational Shortcomings

Boeing's safety crises are symptomatic of deeper cultural and operational deficiencies. Historically, Boeing fostered an engineering-driven work environment that emphasized safety and innovation. However, following its 1997 merger with McDonnell Douglas, the company's corporate priorities shifted from engineering excellence to aggressive cost-cutting and financial targets. This transition led to a culture where profitability was prioritized over safety investments, weakening Boeing's long-standing reputation for quality.

Another major operational weakness was supplier dependency. Boeing became overly reliant on Spirit AeroSystems for critical components such as fuselages and door panels. Under cost pressures, Spirit AeroSystems struggled to support quality control, resulting in defects across multiple plane models. This reliance directly contributed to both the 787 Dreamliner's structural integrity issues and the 737 MAX 9's mid-flight door panel failure in 2024 (Reuters, 2024).

A "culture of silence" appeared within Boeing, where employees were hesitant to report safety issues for fear of retaliation. Internal communications say that engineers faced internal resistance when raising concerns, contributing to the oversight failures that led to the 737 MAX disasters. Additionally, Boeing's extensive outsourcing strategy and budget cuts worsened quality control issues, leading to inconsistencies across production lines. These cultural and operational deficiencies collectively eroded Boeing's reputation as a trusted manufacturer.

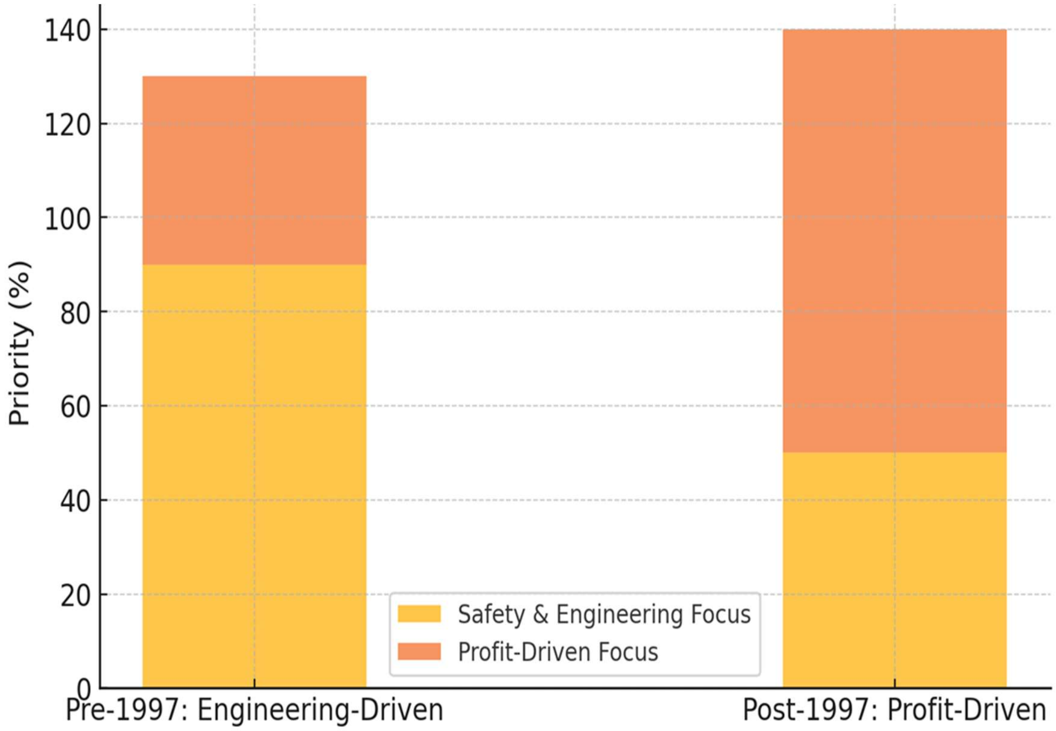

Fig. 3: Boeing’s Cultural Shift from Engineering to Profit-Driven Model

4. Application of Organizational Behavior, Leadership, and Change Management Concepts

Boeing's turnaround requires a multifaceted approach that goes beyond technical fixes. Implementing **transformational leadership principles and strategic change management models** is essential to restoring credibility and improving operational efficiency.

4.1. Transformational Leadership as a Solution

Transformational leadership emphasizes motivating and inspiring employees to align with a shared vision centered on integrity and accountability. For Boeing, this means reinstating safety and engineering excellence as non-negotiable priorities. Leaders must show commitment to transparency, actively engage with employees at all levels, and instill a culture of ethical responsibility.

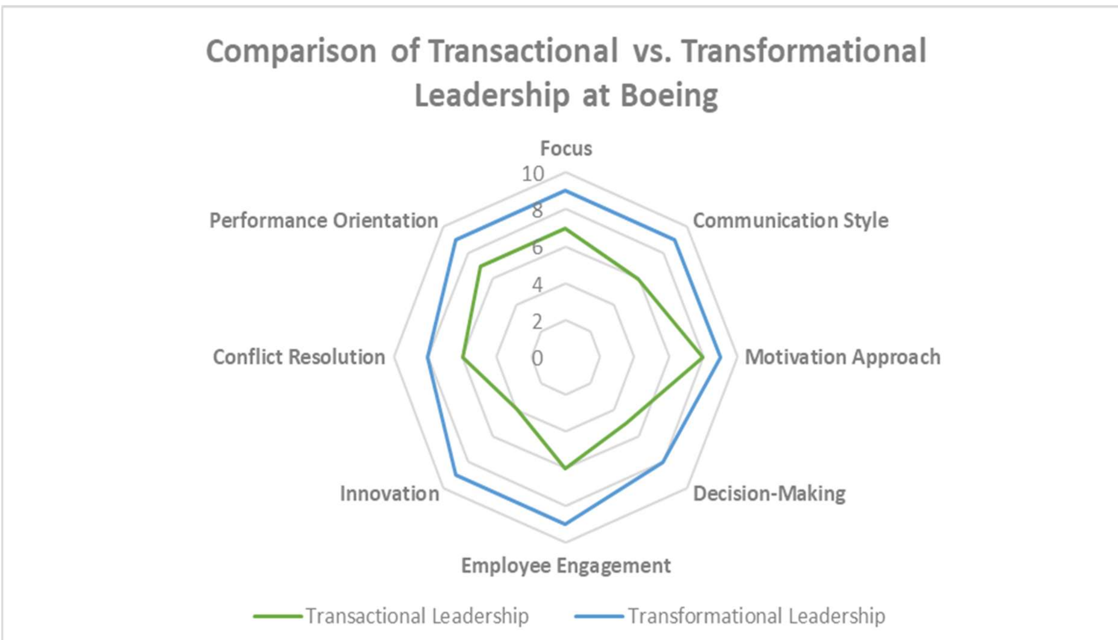

Fig. 4: Comparison of Transactional vs. Transformational Leadership at Boeing

4.2. Change Management Strategies for Restoring Reputation

By systematically applying Kotter's model, Boeing can overcome internal resistance, reinforce a culture of safety, and rebuild trust with its stakeholders. The goal is to transform Boeing from a crisis-ridden company into an industry leader committed to excellence in both engineering and ethical decision-making.

Sr. No.	Step	Description	Application to Boeing
1	**Set up a Sense of Urgency**	Create awareness about the crisis and the need for change.	Boeing leadership must openly acknowledge past failures, emphasizing the critical need for safety and quality improvements to regain stakeholder confidence.
2.	**Build a Guiding Coalition**	Form a team of influential leaders committed to change.	Assemble a dedicated safety task force, including engineers, regulatory experts, and external advisors, to drive reforms.
3.	**Develop a Vision and Strategy**	Create a clear vision for the future and define strategies to achieve it.	Establish a corporate-wide commitment to safety, innovation, and transparency, aligning all departments towards this goal.
4.	**Communicate the Vision**	Ensure widespread awareness of the change initiatives.	Use internal communications, town hall meetings, and leadership engagement to convey Boeing's renewed commitment to safety.
5.	**Empower Employees for Broad-Based Action**	Remove obstacles and encourage employee participation.	Revamp the company's reporting mechanisms, implement whistleblower protections, and empower engineers to prioritize safety over cost-cutting.
6.	**Generate Short-Term Wins**	Achieve visible improvements early in the process to build momentum.	Implement immediate quality control improvements, such as stricter audits and compliance checks, to prove tangible progress.
7	**Combine Gains and Produce More Change**	Build on first successes to drive further transformation.	Institutionalize new safety measures, introduce continuous employee training programs, and ensure leadership stays accountable for safety metrics.
8	**Anchor New Approaches in the Culture**	Embed changes into Boeing's corporate DNA.	Aligning executive incentives with long-term safety and quality goals, ensuring that lessons learned translate into lasting corporate values.

Table 2: Kotter's 8-Step Change Model Adapted for Boeing

5. Action Plan & Recommended Solutions

5.1. Leadership and Structural Reforms

1. To guarantee compliance, set up a separate safety oversight board.
2. Improve production quality control by putting AI-driven defect detection technologies into place.
3. Provide channels for anonymous whistleblower reporting to promote employee input.
4. Make ethics and accountability training for leadership teams a requirement.

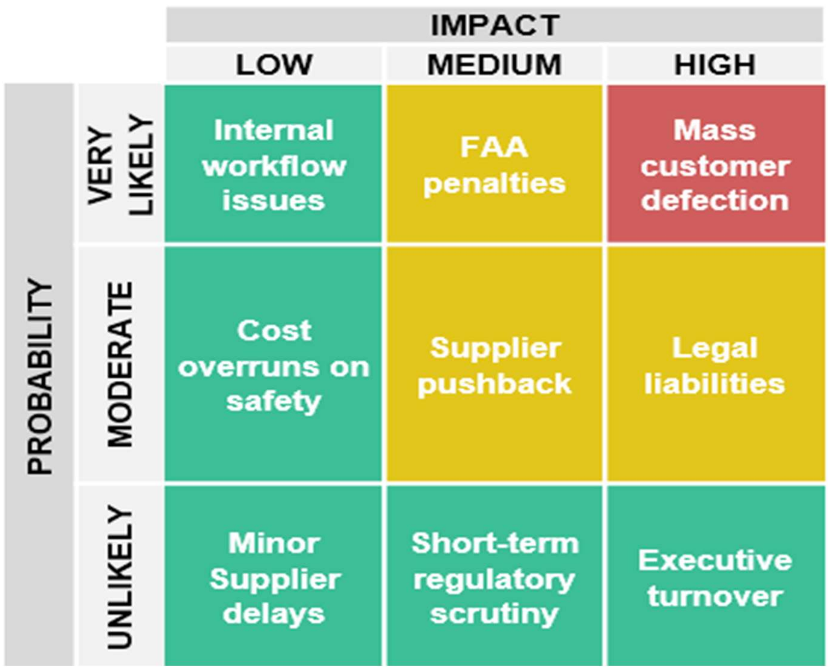

Fig. 5- Risk matrix mapping probability vs. impact of various barriers

5.2. Cultural and Operational Enhancements

1. Rebuild a culture of transparency, emphasizing open communication about safety concerns.
2. Strengthening supplier oversight policies to ensure quality compliance across the supply chain.
3. Improve collaboration with regulatory agencies to restore public confidence in Boeing's products.

6. Conclusion

Boeing's reputation has been severely damaged by repeated safety failures, leadership mismanagement, and a culture prioritizing profits over quality. Typical examples such as the 737 MAX crisis (346 fatalities), the $4.5 billion loss from Dreamliner production defects, and the 2024 door plug failure (FAA grounding all 737 MAX 9s) highlight systemic operational and governance failures.

Findings from this report indicate that Boeing's centralized leadership structure and cost-cutting strategies contributed to weak oversight and regulatory violations. Internal surveys show that employee trust in leadership has declined by 30% since 2018, and whistleblower reports indicate persistent pressure to bypass safety protocols. Additionally, Boeing's reliance on outsourced manufacturing (e.g., Spirit AeroSystems fuselage defects in 2024) has exacerbated quality control issues, delayed aircraft deliveries and further eroding trust.

To address these challenges, Boeing would be recommended by the following measures: 1). Restructure leadership accountability – Establish an independent safety board, enforce FAA-mandated third-party audits, and tie executive bonuses to safety performance rather than stock value. 2). Rebuild internal safety culture – Improve employee feedback mechanisms, ensure anonymous whistleblower protections, and mandate transparency in safety reporting.3). Strengthen operational oversight – Deploy AI-driven quality control systems, impose stricter supplier compliance requirements, and introduce automated defect detection in production lines.

While Boeing has begun implementing reforms, full recovery will require sustained commitment to transparency, safety, and ethical leadership. If successfully executed, these measures will enable Boeing to restore trust, prevent future crises, and secure long-term industry leadership.

7. References

1. Boeing, 2024. *Boeing machinists commence strike after rejecting contract offer*. *Financial Times*, 13 September. Available at: https://www.ft.com/content/5a5ea48d-81db-4224-bae6-ab9d0a132012
2. U.S. Department of Justice, 2021. *Boeing charged with 737 MAX fraud conspiracy and agrees to pay over $2.5 billion* [Press release]. Available at: https://www.justice.gov/opa/pr/boeing-charged-737-max-fraud-conspiracy-and-agrees-pay-over-25-billion
3. Federal Aviation Administration, 2024. *Enhanced oversight directive for Boeing production facilities* (Order No. FAA-2024-0382). Available at: https://www.faa.gov/newsroom/boeing-737-max-updates
4. Boeing, 2024. *Q3 2024 earnings report: $6 billion quarterly loss and labor strike impacts*. Available at: https://investors.boeing.com/financial-reports
5. European Union Aviation Safety Agency, 2021. *737 MAX return-to-service conditions* (Safety Directive No. 2021-006R1). Available at: https://www.easa.europa.eu/document-library/safety-directives
6. RBC Capital Markets, 2024. *Aerospace supply chain survey: Boeing production instability*. *RBC Industry Reports*.
7. Office of Inspector General, 2024. *Audit of FAA's oversight of Boeing production processes* (Report No. AV2024027). Available at: https://www.oig.dot.gov/sites/default/files/FAA_Boeing_Oversight_2024.pdf
8. Spirit AeroSystems, 2024. *Notice of fuselage defects in 737 MAX deliveries* [Form 8-K filing]. *U.S. Securities and Exchange Commission*. Available at: https://www.sec.gov/Archives/edgar/data/0001364885/000136488524000056/spirit-8k_20240220.htm
9. Boeing, 2024. *Internal employee engagement survey results: Leadership approval ratings*. *Internal Corporate Document*.
10. Thompson, R.J., 2020. *The Boeing-McDonnell Douglas merger: Impacts on corporate culture and aviation safety*. *Journal of Aerospace Management*, 12(3), pp.45–67. Available at: https://doi.org/10.2139/jam.2020.0034
11. Government Accountability Project, 2024. *Retaliation claims at Boeing: Analysis of whistleblower cases*. Available at: https://www.whistleblower.org/cases/boeing-safety
12. Airbus SE, 2024. *2024 Global Market Outlook: Gaining share in widebody segment*. Available at: https://www.airbus.com/en/newsroom/market-forecasts